

October 1, 2026 06:14 AM GMT

Micron Technology Inc | North America

Micron makes the case that it's better for longer

Largely as previewed; sequential improvement has decelerated, but the strength in the business continues to shine through; and with duration still underappreciated by some, we stay OW.

Key Takeaways

- Micron extends its qualitative guidance out to 2028; expecting S/D for memory to be tighter in both 2027 and 2028 than this year....
- ... that's unlikely to be initially priced in by investors, but matches our assessment of what the strength in AI demand means for memory
- Gross margin improvement gradual from here, as expected as we surpass 85% gross margins, with some near-term cost headwinds
- On our new estimates Micron will earn close to half the current market cap by the end of 2028, with most of that returned to shareholders
- HBM repricing and buyback authorization are key catalysts still ahead of us

We said in our preview and in recent notes that the debate has shifted from "how good can it get" to "how long it can stay good". That's a debate that takes longer than one print to prove out, but we remain of the view that it can stay good for multiple years, and Micron made the case that visibility is continuing to extend out in time.

Over the last 3 quarters, Micron had beat and guided ahead of consensus on EPS by 20-40%, today it beat by 5%, and guided 6% above consensus. That may be the new normal as Micron's visibility improves and more bits move under LTA's. But the smaller magnitude of revisions to near-term numbers should be priced in, and there are still clear signs that the duration is extending. Micron signed 10 new SCA customers, and is adding duration beyond 2030 in some cases – a testament to the customer anxieties about securing DRAM even 5 years from now.

HBM repricing an important catalyst still to come, Micron's "cloud memory" business unit is 1/3rd of revenue but carries the lowest gross margin (83%) out of Micron's reported segments due to HBM contracts that were signed when overall DRAM pricing was much lower. The incremental 100% margin revenue required for that segment's margins to be in line with mobile and core datacenter 90% would add something like \$9 to quarterly EPS, a meaningful tailwind that could show up quite quickly. Micron wasn't explicit on how much the margin gap would close, but if there were to continue to be a meaningful gap it's our view that Micron would have little incentive to build HBM product.

Supply growth looks more limited than our expectations despite higher capital spending; that could prove conservative, in our view. We have been expecting an

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Micron Technology Inc. (MU.O, MU US)					
Semiconductors United States of America					
Stock Rating	Overweight				
Industry View	Attractive				
Price target	\$1,200.00				
Shr price, close (Sep 30, 2026)	\$1,065.11				
Mkt cap, curr (mm)	\$1,234,431				
52-Week Range	\$1,255.00-163.96				
Fiscal Year Ending	08/26	08/27e	08/28e	08/29e	
EPS (\$)**	75.52	182.52	225.09	134.46	
Prior EPS (\$)**	73.30	168.52	148.85	-	
P/E	12.7	5.8	4.7	8.0	
EPS (\$)§	73.53	159.30	179.99	143.13	
Div yld (%)	0.0	0.0	0.0	0.0	

Unless otherwise noted, all metrics are based on Morgan Stanley ModelWare framework
** = Based on consensus methodology
§ = Consensus data is provided by Refinitiv Estimates
e = Morgan Stanley Research estimates

QUARTERLY EPS (\$)					
Quarter	2026	2027e Prior	2027e Current	2028e Prior	2028e Current
Q1	4.78	35.57	38.02	47.43	59.10
Q2	12.20	39.39	42.88	40.13	58.75
Q3	25.11	43.95	47.83	33.34	56.71
Q4	33.42	49.72	54.52	27.65	50.34

e = Morgan Stanley Research estimates

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acceleration in bit shipments next year as we see meaningful wafer adds across the big 3 DRAM suppliers and CXMT, but Micron is making the case that bit growth will slow despite the higher capex. We're not sure how comfortable we are with that construct at this point as wafer capacity adds should accelerate meaningfully next year across all suppliers, we estimate 20% y/y growth at the industry level vs 11% this year. Meaning higher HBM mix and trade ratios entirely offset node migrations next year after the opposite happened this year, and with Rubin HBM content flat vs Blackwell Ultra (and potentially lower with a de-spec) as well as overall Nvidia units in the range of flat y/y in 2027 year the increased trade ratio seems to be doing the heavy lifting. That said, Micron should have strong visibility into its own portion of that growth, and we think today's guidance should improve sentiment slightly on overall supply growth anxieties.

Thoughts on the stock: We saw at least some of the negative rerating in July as reflecting that the rate of change has to slow, for several reasons: 1) a trillion dollar memory market simply can't see the same rate of price increases for very long without becoming a large portion of global GDP; 2) long-term agreements dampen volatility, with price floors but also price ceilings; and 3) the AI industry is making do with less, out of necessity, with some supply related de-specifications and technology innovations. We weren't alarmed by that, and expected it, but some of the bull case numbers were trimmed.

If \$300 in earnings – the highest numbers we heard a couple of months ago – now seems less likely, that doesn't bring an end to the cycle; we are at \$200 for CY27 now, and see that as conservative, and durable. There are signs of that durability in these numbers – management being willing to call tighter supply demand in CY28 (new language on this call), LTA coverage extending out in some cases through 2031, and higher capex (which may be negative for some but certainly conveys management confidence). But if numbers are closer to consensus, the stock will take longer to play out from here, as previewed – but upside still does seem likely to play out from here. We're staying OW with no change to our \$1200 target.

Changes to estimates: For next quarter, we model close to company guidance with revenue/GM/EPS (all non-GAAP) at \$61.516bn/86.3%/\$38.02. Looking at the February quarter, we move our estimates of revenue/GM/EPS from \$62.825bn/88.9%/\$39.39 to \$67.044bn/87.5%/\$42.88, and for FY27, our numbers move from \$266.867bn/89.3%/\$168.52 to \$281.047bn/87.5%/\$182.52.

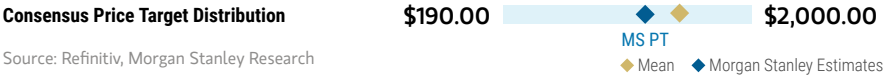
Details on the quarter: Guidance came in above consensus and our estimate, with revenue guided to \$61.5bn at the midpoint, vs the Street at \$57.397bn and our estimate of \$57.560bn. Gross margin guidance of 86.25% was in line with the Street at 86.3% but below our estimate of 88.1%. Opex was guided to approximately \$2.06bn. The tax rate was guided to be 15.5% in FYQ1 and FY27, and diluted share count is expected to be 1.15bn shares. Taking everything together, non-GAAP EPS was guided to \$38.15 at the mid-point, above consensus at \$35.47 and our estimate of \$35.57. For net capex, the company guided to FYQ1 spending of roughly \$11.5bn and plans to increase FY27 spending to above \$50bn.

Risk Reward – Micron Technology Inc. (MU.O)

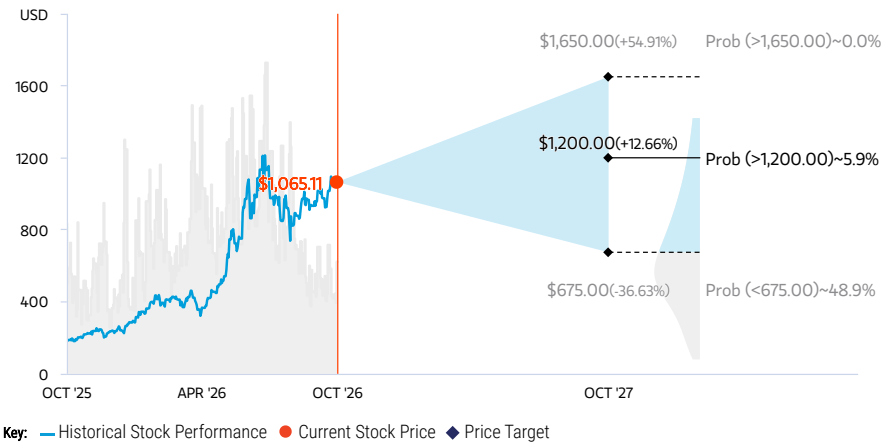
See multiple quarters of upward revisions, with AI driving a higher multiple

PRICE TARGET \$1,200.00

30x through-cycle earnings of US \$40.00, a premium to history reflecting new opportunities in AI, in-line with broader semis.



RISK REWARD CHART AND OPTIONS IMPLIED PROBABILITIES (12M)

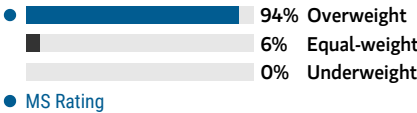


Source: Refinitiv, Morgan Stanley Research, Morgan Stanley Institutional Equities Division. The probabilities of our Bull, Base, and Bear case scenarios playing out were estimated with implied volatility data from the options market as of 30 Sep 2026. All figures are approximate risk-neutral probabilities of the stock reaching beyond the scenario price in either three-months' or one-years' time. View explanation of Options Probabilities methodology [here](#)

OVERWEIGHT THESIS

- DRAM fundamentals are in uncharted territory, and should continue to improve as datacenter/AI markets continue their upward trajectory
- Execution on AI is underappreciated, and we expect Micron to maintain HBM share in CY26 vs the competition, supporting margins and driving a higher multiple than prior cycles
- Cycle longevity will be key, and S/D may stay tight for 2-3 more years

Consensus Rating Distribution



Risk Reward Themes

New Data Era: Positive
Secular Growth: Positive
View descriptions of Risk Rewards Themes [here](#)

BULL CASE	\$1,650.00	BASE CASE	\$1,200.00	BEAR CASE	\$675.00
33x through-cycle earnings of US\$50		30x through-cycle earnings of US\$40		27x through-cycle earnings of US\$25.00	
Gross margin improvement continues, driven by scale, AI mix, and cost improvements in new products. Pricing pressure alleviates as demand sustainably moves above supply driven by HBM's wafer intensity, a product category where MU cements performance leadership on future products.		Our through-cycle earnings estimate of US\$40.00 is a small premium to our new FY19-FY29 average (\$58) as we continue to assume peaks and valleys in earnings over time. Our 30x multiple reflects the market's enthusiasm for the AI opportunity, and is at the midpoint of the semis group		Memory begins to enter a downturn in 2027, as the strength attributed to demand in the early part of the year ended up being inventory build at customers. Multiple compresses severely after an underwhelming peak	

Risk Reward – Micron Technology Inc. (MU.O)

KEY EARNINGS INPUTS

Drivers	Aug 2026	Aug 2027e	Aug 2028e	Aug 2029e
GAAP Revenue (\$, mm)	133,188	281,047	331,286	231,664
Non Gaap Gross Margin (%)	81.1	87.5	86.5	75.9
Non-GAAP EPS (\$)	75.52	182.52	225.09	134.46
Inventory (\$, mm)	10,372	11,750	14,674	18,337
DOI	145.4	118.0	116.8	116.9

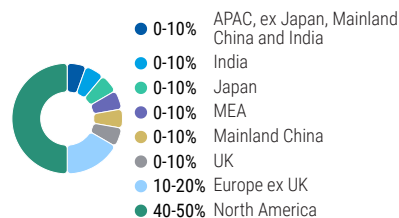
CATALYST CALENDAR

Date	Event	Source: Refinitiv, Morgan Stanley
15 Jan 2027 - 19 Jan 2027	Micron Technology Inc Annual Shareholders Meeting	

INVESTMENT DRIVERS

- Improved pricing and demand strength drive earnings growth

GLOBAL REVENUE EXPOSURE



Source: Morgan Stanley Research Estimate
View explanation of regional hierarchies [here](#)

MS ALPHA MODELS

5/5 BEST	24 Month Horizon	4/5 MOST	3 Month Horizon
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Source: Refinitiv, FactSet, Morgan Stanley Research; 1 is the highest favored Quintile and 5 is the least favored Quintile

RISKS TO PT/RATING

RISKS TO UPSIDE

- Customers continue to demonstrate an appetite to take on inventory around macroeconomic uncertainty
- Additional wafer intensity of HBM further improves overall supply and demand
- Micron's HBM share surpasses expectations

RISKS TO DOWNSIDE

- Pricing can turn quickly; a falter in end demand with inventories elevated could lead to a swift price reduction
- HBM demand falters and competition intensifies, pressuring pricing

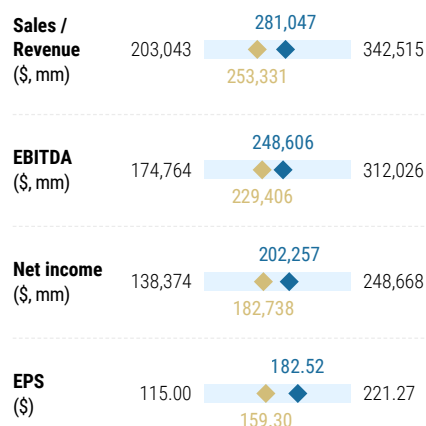
OWNERSHIP POSITIONING

Inst. Owners, % Active	46.5%				
HF Sector Long/Short Ratio	2.2x				
HF Sector Net Exposure	30.6%				

Refinitiv; MSPB Content. Includes certain hedge fund exposures held with MSPB. Information may be inconsistent with or may not reflect broader market trends. Long/Short Ratio = Long Exposure / Short exposure. Sector % of Total Net Exposure = (For a particular sector: Long Exposure - Short Exposure) / (Across all sectors: Long Exposure - Short Exposure).

MS ESTIMATES VS. CONSENSUS

FY Aug 2027e



◆ Mean ◆ Morgan Stanley Estimates

Source: Refinitiv, Morgan Stanley Research

Financial Summary

Exhibit 1: Income Statement Summary

MU: Snapshot for the quarter ended August 2026

Income Statement									
Qtr Results:	Actual			Lst Qtr	QoQ	Lst Yr	YoY	Cons.	MSe
Revenue	\$54,229.0			\$41,456.0	30.8%	\$11,315.0	379.3%	\$50,922.9	\$50,024.1
Gross Margin	87.0%			84.9%	209 bps	45.7%	4,132 bps	85.3%	86.4%
EPS*	\$33.42			\$25.11	\$8.31	\$3.03	\$30.39	\$31.49	\$31.20
Nxt Qtr Outlook:	Low	High	Midpoint	Lst Qtr	QoQ	Lst Yr	YoY		
Revenue	\$60,000.0	\$63,000.0	\$61,500.0		13.4%	\$13,643.0	350.8%	\$57,397.0	\$57,560.2
Gross Margin	86.3%	86.3%	86.25%		-75 bps	56.8%	2,942 bps	86.3%	88.1%
EPS*	\$37.15	\$39.15	\$38.2		\$4.73	\$4.78	\$33.37	\$35.47	\$35.57

* EPS excludes stock-based compensation and extraordinary one-time items

Source: Company data, Morgan Stanley Research estimates

Exhibit 2: Income Statement Variance

Non-GAAP financials, \$ in Millions except per share

	Reported F3Q26	MS Est F3Q26	Difference Act vs. Est.	Per share Difference
Total Revenue	41,456	36,454	5,002	4.34
Cost of Sales	6,257	6,172	85	(0.07)
Gross Profit	35,199	30,282	4,917	4.27
Gross Margin	84.9%	83.1%	1.8%	
R&D	1,178	1,128	50	(0.04)
SG&A	340	284	56	(0.05)
Other OpEx (Inc)	0	27	(27)	0.02
Total Op Expenses	1,518	1,439	79	(0.07)
Operating Income	33,681	28,843	4,838	4.20
Operating Margin	81.2%	79.1%	2.1%	
Net Income	28,857	24,548	4,309	3.74
EPS*	\$25.11	\$21.31	\$3.81	3.81
Diluted Shares Out.	1,149	1,152	(3)	

Source: Company data, Morgan Stanley Research estimates

Financial Statements

Exhibit 3: MU: Projected Income Statement

Income Statement (fiscal year ends in Aug)	2024				2025				2026				2027			
	Q4Q24				Q1Q25				Q2Q26				Q3Q27			
	Nov-24	Feb-25	May-25	Aug-25	Nov-25	Feb-26	May-26	Aug-26	Nov-26	Feb-27	May-27	Aug-27	Nov-27	Feb-28	May-28	Aug-28
Revenues	8,709	8,053	9,301	11,315	13,643	23,860	41,456	54,229	61,516	67,044	72,452	80,035	85,557	85,557	8,907	9,827
COGS - MW	5,361	5,000	5,793	6,261	5,997	6,105	6,400	7,182	8,557	8,400	8,750	9,670	8,557	8,400	8,750	9,670
Gross Profit Non-GAAP	3,441	3,053	3,623	5,169	7,753	17,876	35,199	47,204	53,116	58,644	63,702	70,365	53,116	58,644	63,702	70,365
Non-GAAP Gross Margin	39.5%	37.9%	39.0%	45.7%	56.8%	74.9%	84.9%	87.0%	86.3%	87.5%	87.9%	87.9%	86.3%	87.5%	87.9%	87.9%
R&D	888.0	898.0	965.0	1,047.0	1,171.0	1,250.0	1,316.0	1,913.0	1,903.0	2,078.0	2,253.0	2,428.0	1,903.0	2,078.0	2,253.0	2,428.0
% of Revs.	10.2%	11.2%	10.4%	9.3%	8.6%	5.2%	3.2%	3.5%	3.1%	3.1%	3.1%	3.0%	3.1%	3.1%	3.1%	3.0%
SG&A	285.0	285.0	315.0	314.0	337.0	344.0	407.0	659.0	407.0	427.0	447.0	467.0	407.0	427.0	447.0	467.0
% of Revs.	3.3%	3.5%	3.4%	2.8%	2.5%	1.4%	1.0%	1.6%	0.7%	0.6%	0.6%	0.6%	0.7%	0.6%	0.6%	0.6%
Other OpEx	(2.0)	7.0	56.0	39.0	2.0	26.0	15.0	524.0	-	-	-	-	-	-	-	-
Other OpEx - MW	138.0	151.0	145.0	148.0	179.0	203.0	198.0	256.0	217.0	217.0	217.0	217.0	217.0	217.0	217.0	217.0
Operating Income - Non-GAAP	2,394	2,007	2,490	3,955	6,419	16,455	33,681	44,636	51,049	56,382	61,245	67,713	51,049	56,382	61,245	67,713
Operating Margin %	27.5%	24.9%	26.8%	35.0%	47.0%	69.0%	81.2%	82.3%	83.0%	84.1%	84.5%	84.6%	83.0%	84.1%	84.5%	84.6%
Total Interest Income (net) and Other Income	(22.0)	(15.0)	(56.0)	(23.0)	(75.0)	25.0	(106.0)	487.0	575.0	575.0	575.0	575.0	575.0	575.0	575.0	575.0
Total Interest Income (net) and Other Income - MW	(22.0)	(15.0)	(56.0)	(23.0)	(75.0)	25.0	(106.0)	487.0	575.0	575.0	575.0	575.0	575.0	575.0	575.0	575.0
PBT - GAAP	2,152	1,758	2,113	3,631	6,061	16,160	33,212	44,238	51,224	56,557	61,420	67,888	51,224	56,557	61,420	67,888
PBT - Non-GAAP	2,372	1,992	2,434	3,932	6,344	16,480	33,575	45,123	51,624	56,957	61,820	68,288	51,624	56,957	61,820	68,288
PBT - MW	2,245	1,848	2,286	3,785	6,171	16,304	33,377	44,916	51,417	56,750	61,613	68,081	51,417	56,750	61,613	68,081
Income Tax Expense (Benefit) GAAP	283.0	177.0	235.0	429.0	829.0	2,371.0	4,978.0	6,583.0	7,712.6	8,512.4	9,241.9	10,212.1	7,712.6	8,512.4	9,241.9	10,212.1
Income Tax Expense (Benefit) - Non-GAAP	336.0	211.0	260.0	462.0	870.0	2,455.0	4,727.0	6,771.0	7,900.6	8,700.4	9,429.9	10,400.1	7,900.6	8,700.4	9,429.9	10,400.1
Income Tax Expense (Benefit) - MW	336.0	211.0	260.0	462.0	870.0	2,455.0	4,727.0	6,771.0	7,900.6	8,700.4	9,429.9	10,400.1	7,900.6	8,700.4	9,429.9	10,400.1
PAT - GAAP	1,869	1,581	1,878	3,202	5,232	13,789	28,234	37,655	43,512	48,044	52,178	57,676	43,512	48,044	52,178	57,676
PAT - Non-GAAP	2,036	1,781	2,174	3,470	5,474	14,025	28,948	38,352	43,724	48,256	52,390	57,888	43,724	48,256	52,390	57,888
PAT - MW	1,909	1,637	2,026	3,323	5,301	13,849	28,650	38,145	43,517	48,049	52,183	57,681	43,517	48,049	52,183	57,681
Equity Method Income	1.0	2.0	7.0	(1.0)	8.0	(4.0)	9.0	46.0	-	-	-	-	-	-	-	-
Equity Method Income - Non GAAP adjustment	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-
Net Income	1,870	1,583	1,885	3,201	5,240	13,785	28,243	37,701	43,512	48,044	52,178	57,676	43,512	48,044	52,178	57,676
Extraordinary	40	56	148	121	69	60	416	490	5	5	5	5	5	5	5	5
Net Income-GAAP	1,870	1,583	1,885	3,201	5,240	13,785	28,243	37,701	43,512	48,044	52,178	57,676	43,512	48,044	52,178	57,676
Net Income-Non-GAAP	2,037	1,783	2,181	3,469	5,482	14,021	28,857	38,398	43,724	48,256	52,390	57,888	43,724	48,256	52,390	57,888
Net Income - MW	1,910	1,639	2,033	3,322	5,309	13,845	28,659	38,191	43,517	48,049	52,183	57,681	43,517	48,049	52,183	57,681
Net Income attributable to non-controlling interest	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-
Net Income Attributable to Micron (GAAP)	1,870	1,583	1,885	3,201	5,240	13,785	28,243	37,701	43,512	48,044	52,178	57,676	43,512	48,044	52,178	57,676
Net Income Attributable to Micron (Non GAAP)	2,037	1,783	2,181	3,469	5,482	14,021	28,857	38,398	43,724	48,256	52,390	57,888	43,724	48,256	52,390	57,888
Net Income Attributable to Micron (MW)	1,910	1,639	2,033	3,322	5,309	13,845	28,659	38,191	43,517	48,049	52,183	57,681	43,517	48,049	52,183	57,681
GAAP EPS	\$ 1.67	\$ 1.41	\$ 1.68	\$ 2.83	\$ 4.60	\$ 12.07	\$ 24.67	\$ 32.87	\$ 37.90	\$ 42.76	\$ 47.72	\$ 54.42	\$ 37.90	\$ 42.76	\$ 47.72	\$ 54.42
EPS	\$ 1.67	\$ 1.41	\$ 1.68	\$ 2.83	\$ 4.60	\$ 12.07	\$ 24.67	\$ 32.87	\$ 37.90	\$ 42.76	\$ 47.72	\$ 54.42	\$ 37.90	\$ 42.76	\$ 47.72	\$ 54.42
Non-GAAP EPS	\$ 1.79	\$ 1.56	\$ 1.91	\$ 3.03	\$ 4.78	\$ 12.20	\$ 25.11	\$ 33.42	\$ 38.02	\$ 42.88	\$ 47.83	\$ 54.52	\$ 38.02	\$ 42.88	\$ 47.83	\$ 54.52
MW EPS	\$ 1.70	\$ 1.46	\$ 1.81	\$ 2.94	\$ 4.67	\$ 12.12	\$ 25.03	\$ 33.30	\$ 37.91	\$ 42.77	\$ 47.73	\$ 54.43	\$ 37.91	\$ 42.77	\$ 47.73	\$ 54.43

Source: Company data, Morgan Stanley Research estimates

Exhibit 4: MU: Projected Balance Sheet



Micron Technology, Inc

Micron Technology, Inc Balance Sheet (\$ in millions, fiscal year end)	C4Q26A	C1Q26A	C2Q26A	C3Q26A	C4Q26E	C1Q27E	C2Q27E	C3Q27E	CY2026	CY2027	CY2028
	Nov-26	Feb-26	May-26	Aug-26	Nov-26	Feb-27	May-27	Aug-27			
	F1Q26A	F2Q26A	F3Q26A	F4Q26A	F1Q27E	F2Q27E	F3Q27E	F4Q27E	Dec-26	Dec-27	Dec-28
Assets											
Cash and cash equivalents	\$ 9,731.0	\$ 13,908.0	\$ 24,995.0	\$ 38,364.0	\$ 72,339.3	\$ 78,914.1	\$ 87,021.4	\$ 96,073.3	\$ 72,339.3	\$ 104,255.5	\$ 137,951.0
Short-term investments	587.0	681.0	1,027.0	5,070.0	5,070.0	5,070.0	5,070.0	5,070.0	5,070.0	5,070.0	5,070.0
Restricted cash	-	-	-	-	-	-	-	-	-	-	-
Accounts receivables, net	10,184.0	17,314.0	31,025.0	36,197.0	40,160.3	44,255.1	45,210.3	48,202.6	40,160.3	57,994.3	63,040.6
Inventory	8,205.0	8,267.0	8,567.0	10,372.0	11,754.1	11,409.3	11,133.8	11,750.1	11,754.1	12,673.1	15,685.3
Prepaid and deferred income taxes	-	-	-	-	-	-	-	-	-	-	-
Prepaid expenses and other assets	958.0	1,243.0	1,123.0	1,067.0	1,067.0	1,067.0	1,067.0	1,067.0	1,067.0	1,067.0	1,067.0
Total Current Assets	29,665.0	41,413.0	66,737.0	91,070.0	130,390.6	140,715.6	149,592.4	162,163.0	130,390.6	181,059.9	222,813.9
Property and equipment, net	48,477.0	51,408.0	56,426.0	63,310.0	72,034.6	82,968.7	94,546.3	105,764.7	72,034.6	116,603.6	154,014.8
Equity method investments	-	-	-	-	-	-	-	-	-	-	-
Deferred tax assets, non-current	641.0	690.0	700.0	-	-	-	-	-	-	-	-
Goodwill	1,150.0	1,150.0	1,150.0	1,150.0	1,150.0	1,150.0	1,150.0	1,150.0	1,150.0	1,150.0	1,150.0
Intangible assets, net	465.0	468.0	473.0	-	-	-	-	-	-	-	-
Long-term marketable securities	1,697.0	2,038.0	4,106.0	30,019.0	30,019.0	30,019.0	30,019.0	30,019.0	30,019.0	30,019.0	30,019.0
Other non-current assets	3,876.0	4,352.0	4,520.0	10,339.0	10,339.0	10,339.0	10,339.0	10,339.0	10,339.0	10,339.0	10,339.0
Total Assets	85,971.0	101,509.0	134,112.0	195,888.0	243,933.4	265,192.3	285,556.8	309,435.6	243,933.4	339,171.6	418,336.7
Liabilities & Shareholders' Equity											
Accounts payable	9,796.0	10,997.0	15,521.0	22,605.0	26,932.7	26,932.7	28,034.4	30,931.1	26,932.7	32,998.2	40,841.3
Accrued expenses and other liabilities	-	-	-	-	-	-	-	-	-	-	-
Deferred income taxes	1,695.0	2,714.0	3,385.0	4,386.0	4,386.0	4,386.0	4,386.0	4,386.0	4,386.0	4,386.0	4,386.0
Income taxes payable	-	-	-	-	-	-	-	-	-	-	-
Equipment purchase contracts	-	-	-	-	-	-	-	-	-	-	-
Current debt	599.0	595.0	592.0	491.0	491.0	491.0	491.0	491.0	491.0	491.0	491.0
Total Current Liabilities	12,060.0	14,296.0	19,488.0	27,482.0	31,809.7	31,809.7	32,911.4	35,808.1	31,809.7	37,875.2	45,718.3
Long-term debt (includes SBC)	11,187.0	9,557.0	5,140.0	4,688.0	4,688.0	4,688.0	4,688.0	4,688.0	4,688.0	4,688.0	4,688.0
Deferred income taxes	-	-	-	-	-	-	-	-	-	-	-
Long-term deferred income taxes	-	-	-	-	-	-	-	-	-	-	-
Other long-term liabilities	3,918.0	5,197.0	8,760.0	25,340.0	25,340.0	25,340.0	25,340.0	25,340.0	25,340.0	25,340.0	25,340.0
Minority interest	-	-	-	-	-	-	-	-	-	-	-
Shareholders' Equity	58,806.0	72,459.0	100,724.0	138,378.0	182,095.7	203,354.5	222,617.4	243,599.5	182,095.7	271,268.4	342,590.4
Total Liabilities & Equity	85,971.0	101,509.0	134,112.0	195,888.0	243,933.4	265,192.3	285,556.8	309,435.6	243,933.4	339,171.6	418,336.7
Check	-	-	-	-	-	-	-	-	-	-	-

Source: Company data, Morgan Stanley Research estimates

Exhibit 5: MU: Projected Cash Flow Statement

MU, Inc. Statement of Cash Flows (in millions; fiscal year ends in Aug.)	C4Q2024			C4Q2025			C4Q2026		
	Nov-23	Feb-24	May-24	Nov-24	Feb-25	May-25	Aug-25	Nov-25	Feb-26
	F1Q24E	F2Q24E	F3Q24E	F1Q25E	F2Q25E	F3Q25E	F4Q25E		
Cash flows provided by (used for) operating activities:									
Net income	\$ 5,240.0	\$ 13,785.0	\$ 28,243.0	\$ 43,511.7	\$ 48,044.2	\$ 52,177.8	\$ 57,675.8	\$ (6,872.0)	\$ 3,882.0
Adjustments to reconcile net									
Depreciation and amortization	2,212.0	2,286.0	2,364.0	2,775.4	3,066.0	3,422.4	3,781.8	7,750.0	7,895.0
Stock-based compensation	290.0	309.0	355.0	379.0	379.0	379.0	379.0	638.0	865.0
Tax effect from stock-based compensation	-	-	-	-	-	-	-	1,042.0	1,422.0
Loss (gain) on equity investments, net	-	-	-	-	-	-	-	-	-
Write-down of inventories	-	-	-	-	-	-	-	-	-
Gain/Loss on disposal of property, plant and equipment	-	-	-	-	-	-	-	-	-
Deferred income taxes	-	-	-	-	-	-	-	-	-
Non-cash interest expense and other non-cash items	-	-	-	-	-	-	-	1,943.0	-
Changes in current assets and liabilities:									
Accounts receivable	(871.0)	(7,427.0)	(11,655.0)	(3,963.3)	(4,094.8)	(955.2)	(2,992.3)	420.0	(3,897.0)
Inventory	150.0	(62.0)	(300.0)	(1,382.1)	344.8	275.6	(616.3)	(1,747.0)	(429.0)
Prepaid and deferred income taxes	-	-	-	-	-	-	-	-	-
Prepaid expenses and other assets	-	-	-	-	-	-	-	-	-
Accounts payable	156.0	772.0	2,491.0	4,327.7	-	1,101.6	2,896.8	(777.0)	1,453.0
Accrued expenses and other current liabilities	-	-	-	-	-	-	-	579.0	(579.0)
Income taxes payable	-	-	-	-	-	-	-	-	-
Deferred revenues	-	-	-	-	-	-	-	-	-
Other changes in assets and liabilities	1,234.0	2,240.0	3,980.0	-	-	-	-	83.0	1,210.0
Net cash provided by operating activities	8,411.0	11,959.0	25,385.0	45,645.3	47,139.1	56,491.2	61,124.6	2,017.0	15,386.0
Cash flows from investing activities:									
Capital expenditures	(5,389.0)	(6,387.0)	(7,826.0)	(12,300.0)	(14,800.0)	(15,000.0)	(15,000.0)	(7,023.0)	(9,796.0)
Proceeds from government incentives	878.0	1,378.0	733.0	800.0	800.0	-	-	793.0	295.0
Additions to equity method investments	-	-	-	-	-	-	-	-	-
Return of equity method investment	-	-	-	-	-	-	-	-	-
Proceeds from sale of PP&E	6.0	(6.0)	-	-	-	-	-	102.0	75.0
Restricted cash	-	-	-	-	-	-	-	-	-
Sale/(Purchases) of securities	13.0	(432.0)	(2,420.0)	-	-	-	-	771.0	(329.0)
Acquisitions/dispositions	-	-	-	-	-	-	-	-	(230.0)
Other investing activities	(102.0)	(79.0)	(86.0)	-	-	-	-	(126.0)	(144.0)
Net cash used for investing activities	(4,594.0)	(6,524.0)	(9,599.0)	(11,500.0)	(14,000.0)	(15,000.0)	(15,000.0)	(6,483.0)	(9,594.0)
Cash flows from financing activities:									
Proceeds from equipment-sale leaseback trans.	-	-	-	-	-	-	-	-	-
Cash received from noncontrolling interest	-	-	-	-	-	-	-	-	-
Acquisition of noncontrolling interest	-	-	-	-	-	-	-	-	-
Distributions to noncontrolling interest	-	-	-	-	-	-	-	-	-
Payments on equipment purchase contracts	-	-	-	-	-	-	-	-	-
Change in LT Debt	(2,943.0)	(1,683.0)	(4,754.0)	-	-	-	-	2,573.0	(929.0)
Dividends	(134.0)	(132.0)	(171.0)	(173.0)	(173.0)	(173.0)	(173.0)	(507.0)	(515.0)
Share Repurchases	(300.0)	(895.0)	(2,177.0)	(26,561.3)	(33,121.0)	(30,889.7)	-	(507.0)	(300.0)
Other financing activities	(968.0)	(463.0)	(493.0)	-	-	-	-	80.0	(475.0)
Net cash used for financing activities	(13,458.0)	(12,149.0)	(14,744.0)	(17,730.0)	(27,164.3)	(33,394.0)	(37,272.7)	1,389.0	(1,912.0)
Effect of exchange rate changes on cash and cash equivalents	14.0	(9.0)	3.0	-	-	-	-	(29.0)	12.0
Cash and cash equivalents, beginning of period	9,642.0	9,731.0	13,906.0	38,364.0	72,339.3	78,914.1	87,021.4	9,574.0	8,075.0
Change in cash flow due to restatement	3.0	(25.0)	11.0	-	-	-	-	(3.0)	67.0
Net increase (decrease) in cash and cash equivalents	86.0	4,262.0	11,086.0	33,975.3	6,974.8	8,107.2	9,061.9	(1,486.0)	1,448.0
Cash and cash equivalents, end of period	9,731.0	13,906.0	24,995.0	72,339.3	78,914.1	87,021.4	96,073.3	8,075.0	8,075.0
CS - Balance Sheet	9,731.0	13,906.0	24,995.0	72,339.3	78,914.1	87,021.4	96,073.3	8,075.0	8,075.0
Notes									

Source: Company data, Morgan Stanley Research estimates

Risk Reward Reference links

1. View explanation of Options Probabilities methodology - [Options_Probabilities_Exhibit_Link.pdf](#)
2. View descriptions of Risk Rewards Themes - [RR_Themes_Exhibit_Link.pdf](#)
3. View explanation of regional hierarchies - [GEG_Exhibit_Link.pdf](#)
4. View explanation of Theme/Exposure methodology - [ESG_Sustainable_Solutions_External_Link.pdf](#)
5. View explanation of HERS methodology - [ESG_HERS_External_Link.pdf](#)

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(as of September 30, 2026)

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Stock Rating Category	Coverage Universe		Investment Banking Clients (IBC)			Other Material Investment Services Clients (MISC)	
	Count	% of Total	Count	% of Total IBC	% of Rating Category	Count	% of Total Other MISC
Overweight/Buy	1599	43%	455	48%	28%	783	44%
Equal-weight/Hold	1563	42%	394	42%	25%	763	43%
Not-Rated/Hold	2	0%	1	0%	50%	1	0%
Underweight/Sell	570	15%	96	10%	17%	227	13%
Total	3,734		946			1774	

Data include common stock and ADRs currently assigned ratings. Investment Banking Clients are companies from whom Morgan Stanley received investment banking compensation in the last 12 months. Due to rounding off of decimals, the percentages provided in the "% of total" column may not add up to exactly 100 percent.

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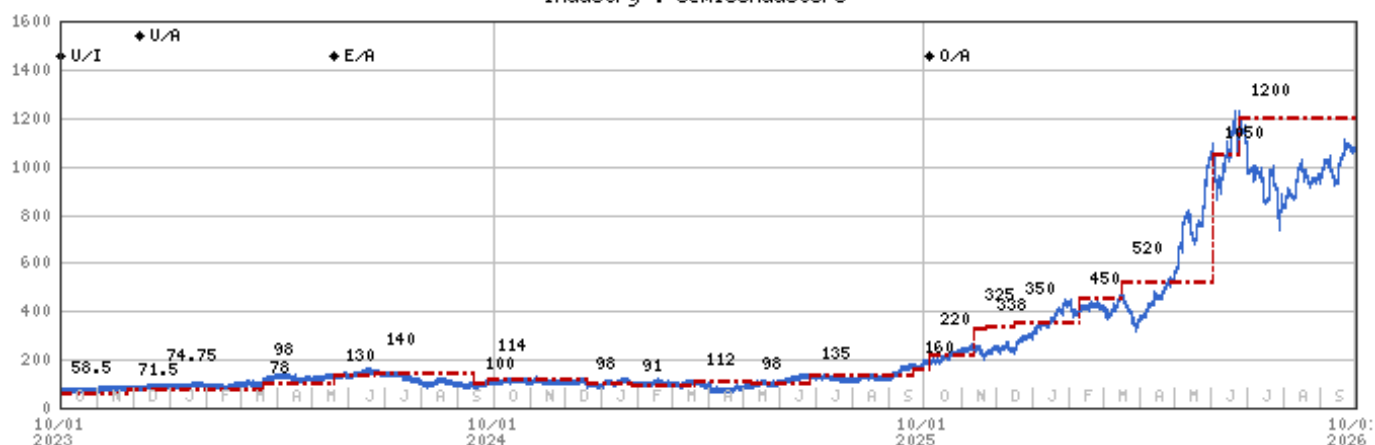
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Stock Price, Price Target and Rating History (See Rating Definitions)

Micron Technology Inc. (MU.O) - As of 10/01/26 GMT in USD
Industry : Semiconductors



Stock Rating History: 10/1/21 : E/I; 7/21/22 : U/I; 12/7/23 : U/A; 5/20/24 : E/A; 10/6/25 : O/A

Price Target History: 8/12/21 : 75; 12/20/21 : 77; 3/29/22 : 83; 6/21/22 : 56; 9/30/22 : 49; 12/21/22 : 46; 9/24/23 : 58.5; 11/27/23 : 71.5; 12/20/23 : 74.75; 3/18/24 : 78; 3/21/24 : 98; 5/20/24 : 130; 6/23/24 : 140; 9/15/24 : 100; 9/26/24 : 114; 12/19/24 : 98; 1/27/25 : 91; 3/21/25 : 112; 5/7/25 : 98; 6/26/25 : 135; 9/22/25 : 160; 10/6/25 : 220; 11/12/25 : 325; 11/23/25 : 338; 12/17/25 : 350; 2/10/26 : 450; 3/18/26 : 520; 6/2/26 : 1050; 6/25/26 : 1200

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Stock Price (Not Covered by Current Analyst) — Stock Price (Covered by Current Analyst) —
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Stock Ratings: Overweight (O) Equal-weight (E) Underweight (U) Not-Rated (NR) No Rating Available (NA)
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INDUSTRY COVERAGE: Semiconductors

COMPANY (TICKER)	RATING (AS OF)	PRICE* (09/30/2026)
Joseph Moore		
Advanced Micro Devices (AMD.O)	E (06/09/2024)	\$611.76
Aeva Technologies Inc (AEVA.O)	E (07/19/2021)	\$14.04
Allegro Microsystems Inc (ALGM.O)	O (02/13/2026)	\$36.35
Ambarella Inc (AMBA.O)	O (03/29/2016)	\$69.51
Amkor Technology Inc (AMKR.O)	E (11/08/2023)	\$52.38
Analog Devices Inc. (ADI.O)	O (11/16/2023)	\$396.71
Astera Labs Inc (ALAB.O)	O (05/11/2025)	\$355.97
Broadcom Inc. (AVGO.O)	O (06/09/2024)	\$351.19
Cerebras Systems (CBRS.O)	O (06/08/2026)	\$177.65
GlobalFoundries Inc (GFS.O)	E (10/28/2024)	\$47.92
Intel Corporation (INTC.O)	E (02/22/2023)	\$120.23
IonQ Inc (IONQ.N)	E (04/25/2023)	\$43.86
Marvell Technology Group Ltd (MRVL.O)	E (09/14/2015)	\$264.21
Microchip Technology Inc. (MCHP.O)	E (07/10/2024)	\$77.77
Micron Technology Inc. (MU.O)	O (10/06/2025)	\$1,065.11
Navitas Semiconductor Corp (NVT.S.O)	U (04/06/2025)	\$11.61
NVIDIA Corp. (NVDA.O)	O (03/16/2023)	\$228.38
NXP Semiconductor NV (NXPI.O)	O (02/11/2025)	\$237.53
ON Semiconductor Corp. (ON.O)	++	\$76.87
Qorvo Inc (QRVO.O)	E (10/28/2025)	\$114.48
Qualcomm Inc. (QCOM.O)	E (06/24/2026)	\$184.04
Quantinuum (QNT.O)	E (06/29/2026)	\$48.06
SanDisk Corporation. (SNDK.O)	O (03/03/2025)	\$1,739.89
Semtech Corp. (SMTC.O)	E (04/06/2025)	\$178.35
Silicon Laboratories Inc. (SLAB.O)	E (01/19/2021)	\$221.58

SiTime Corporation (SITM.O)	O (09/16/2026)	\$652.03
Skyworks Solutions Inc (SWKS.O)	E (11/28/2018)	\$85.48
Texas Instruments (TXN.O)	U (04/13/2020)	\$280.09
Wolfspeed, INC (WOLF.N)	NR (04/06/2025)	\$28.13
Lee Simpson		
Arm Holdings plc (ARM.O)	E (04/07/2026)	\$289.66
Cadence Design Systems Inc (CDNS.O)	O (02/14/2024)	\$330.19
PDF Solutions Inc (PDFS.O)	O (09/08/2026)	\$51.05
Synopsys Inc. (SNPS.O)	O (09/08/2026)	\$434.94

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* Historical prices are not split adjusted.